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Formation and Incorporation of a Company

The whole process of formation of a company may be divided into four stages, namely :

- (i) Promotion
- (ii) Registration
- (iii) Floatation
- (iv) Commencement of business.

4.1 Promotion

Promotion is a term of wide import denoting the preliminary steps taken for the purpose of registration and floatation of the company. The persons who assume the task of promotion are called promoters. A promoter may be an individual, syndicate, association, partner or company.

4.1-1 Who is a promoter

Section 2(69) of the Companies Act, 2013 defines the term promoter as a person—

- (a) who has been named as such in a prospectus or is identified by the company in the annual return referred to in section 92; or
- (b) who has control over the affairs of the company, directly or indirectly whether as a shareholder, director or otherwise; or
- (c) in accordance with whose advice, directions or instructions the Board of Directors of the company is accustomed to act.

However, a person who is acting merely in a professional capacity shall not be treated as a promoter.

The aforesaid description of promoter does not bring out the nature of activities that a promoter is usually associated with. It may serve a good purpose for fixation of liabilities for wrong doings by the company.

To know about the nature of activities that the promoters usually do, study of some of the definitions advanced by the learned judges will be pertinent. Cockburn CJ., in *Twycross v. Grant* 1877 2 C.P.D. 469, page 541 C.A. described a promoter as “one who undertakes to form a company with reference to a given project, and to set it going, and who takes the necessary steps to accomplish that purpose”. Another attempt was made by Bowen, L.J., in *Whaley Bridge Printing Co. v. Green* [1880] 5 B.D. 109 at page 111. He observed that the term promoter is “a term not of law but of business”, usefully summing up, in a single word— promotion, “a number of business operations familiar to the commercial world by which a company is brought into existence”.

In USA, the Securities Exchange Commission Rule 405(a) defines a promoter as a person who, acting alone or in conjunction with other persons directly or indirectly takes the initiative in founding or organising the business enterprise.

To be a promoter one need not necessarily be associated with the initial formation of the company; one who subsequently helps to arrange floating of its capital will equally be regarded as a promoter.¹

However, the persons assisting the promoters by acting in a professional capacity do not thereby become promoters themselves. Thus, a solicitor who drafts the articles, or the accountant who values assets of a business to be purchased are merely giving professional assistance to the promoter. However, where he goes further than this, for example, by introducing his clients to a person who may be interested in purchasing shares in the proposed company, he would be regarded as promoter. In Palmer’s view, anyone who assists in the promotion, for example, by obtaining the services of a director, or agreeing to place shares or negotiating an agreement or merely by bringing a vendor in touch with persons who may form a company to exploit or purchase his goods may find himself as a promoter of a company which is consequently formed.

In conclusion, it may be said that word “promoter” is used in common parlance to denote any individual, syndicate, association, partnership or a company which takes all the necessary steps to create and mould a company and set it going. The promoter originates the scheme for the formation of the company; gets together the subscribers to the memorandum; gets memorandum and articles prepared, executed and registered; finds the bankers, brokers and legal advisors; locates the first directors, settles the terms of preliminary contracts with vendors and agreement with underwriters and makes arrangements for preparation, advertisement and circulation of the prospectus and placement of the capital. In India, the promoter or promoters or the principal of them are usually persons who, in forming the company, secure for themselves the management of the company being formed or are persons who convert their own private business into a limited company, public or private and secure for themselves more or less a controlling interest into the company’s management².

1. *Lagunas Nitrate Co. v. Lagunas Syndicate* [1899] 2 Ch. 392.

2. A. Ramaiya, *Guide to Companies Act*, 12th edn., p. 351.

A person cannot, however, become a promoter merely because he signs the memorandum as a subscriber for one or more shares [*Official Liquidator v. Velu Mudaliar* [1938] 8 Comp. Cas. 7].

4.1-2 When promotion begins and ends

The relationship between promoter and the company that he has floated must be deemed to be fiduciary relationship from the day the work of floating the company starts³ and continues up to the time that the directors take into their hands what remains to be done in the way of forming the company [*Twycross v. Grant (supra)*].

The date upon which the person becomes a promoter can be a matter of great importance to him and the company. A number of sections impose civil as well as criminal liabilities on promoters for misrepresentations in a prospectus or a statement in lieu of prospectus, for misappropriation or misapplication of the monies collected.

The status of a promoter is generally terminated when the Board of Directors has been formed and they start governing the company. Chronologically, the first persons who control or influence the company's affairs are its promoters. It is they who conceive the idea of forming the company, and it is they who take the necessary steps to incorporate it, to provide it with share and loan capital and acquire the business or property which it is to manage. When these things have been done, they hand over the control of the company to its directors, who are often themselves under a different name.

On handing over the control of the company to the directors, the promoter's fiduciary and common law duties cease, and he is thereafter subject to no more extensive duties in dealing with the company than a third person who is unconnected with it⁴. Thus, where a promoter disclosed the profit which he made out of a company's promotion to the persons who provided it with the share capital with which it commenced business, it was held that he was under no further duty to disclose the profit to persons who were invited to subscribe further capital a year later, and so the company could not recover the profit from him for his failure to do so⁵. Nevertheless, a promoter may remain subject to fiduciary and other duties to the company if he becomes a director or agent of it, but the duties are then owed only in that other capacity.

4.1-3 Legal position of a promoter

While the accurate description of a promoter may be difficult, his legal position is quite clear. The promoters occupy an important position and have wide powers relating to the formation of a company. It is, however, interesting to note that so far as the legal position is concerned, he is neither an agent nor a trustee of the proposed company. He is not the agent because there is no company yet in existence and he is not a trustee because there is no trust in existence. But it does not mean that the promoter does not have any legal relationship with the proposed company. The

3. *CIT v. Bijili Cotton Mills Ltd.* [1953] 23 Comp. Cas. 114.

4. Pennington's Company Law, 5th Edn., p. 607.

5. *Re, British Seamless Paper Box Co.* [1881] 17 Ch. D. 467.

correct way to describe his legal position is that he stands in a fiduciary position towards the company about to be formed. Lord Cairns has correctly stated the position of promoter in *Erlanger v. New Sombrero Phosphate Co.* (39 LT 269), "the promoters of a company stand undoubtedly in a fiduciary position. They have in their hands the creation and moulding of the company." They have the power of defining how and when and in what shape and under whose supervision it shall come into existence and begins to act as a trading corporation. Similarly, it was observed in *Lagunas Nitrate Co. v. Lagunas Syndicate* (1899 2 Ch. 392), that : "The promoters stand in a fiduciary relation to the company they promote and to those persons, whom they induce to become shareholders in it." Lord Justice Lindley in *Lidney & Wigpool Iron Ore Co. v. Bird* [1866] 33 Ch. D 85 described the position of a promoter as follows :

"Although not an agent for the company, nor a trustee for it before its formation, the old familiar principles of law of agency and of trusteeship have been extended and very properly extended to meet such cases. It is perfectly well settled that a promoter of a company is accountable to it for all monies secretly obtained by him from it just as the relationship of the principal and agent or the trustee and *cestui que* trust had really existed between him and the company when the money was obtained."

4.1-4 Duties of promoters

The Companies Act, 2013 contains no provisions regarding the duties of promoters. It merely imposes liability on promoters for untrue statements in prospectus they are parties to (sections 34 & 35), and for fraudulent trading (section 339). The courts, however, have been conscious of the possibility of abuse inherent in the promoters' position and therefore laid down that any one, who can properly be regarded as promoter stands in a fiduciary position towards the company with all the duties of disclosure and accounting. *In particular*, the two fiduciary duties imposed on a promoter are :

- (1) not to make any secret profit out of the promotion of the company;
- (2) to disclose to the company any interest which he has in a transaction entered into by it.

Duty to disclose secret profits: The commonest way in which professional promoters used to make a secret profit was by purchasing property or business themselves and reselling it to the company at an enhanced price. But the difference between the two prices in such a case shall be a secret profit only if the promoter has begun to promote the company at the time he buys the property or business, so that he owes a duty to the company at that time not to profit on a re-sale to it [*Re Cape Breton Co.* [1885] 29 Ch. D 795]. If the promoter purchases the property or business at a time when he merely has an intention of promoting a company to acquire it, he owes no fiduciary duty to the company [*Erlanger v. New Sombrero Phosphate Co.* [1878] 3 App. Cas. 1218]. The duty of disclosing the profits does not even extend to a situation where the contract with the vendor provides that the promoters shall form a company to which the property or business shall be transferred. [*Re Coal Economising Gas Co. Gover's case* [1875] 1 Ch. D 182].

Promoters may obtain secret profits by other methods than reselling property to company. For example, the vendor may agree to pay a share of profit to the promoter.

A promoter is not forbidden to make profit but to make secret profit. He may make a profit out of promotion with the consent of the company, in the same way as an agent may retain a profit obtained through his agency with his principal's consent. In *Gluckstein v. Barnes*⁶ a syndicate of persons was formed to buy a property called 'Olympia' and re-sell this 'Olympia' to a company to be formed for the purpose. The syndicate first bought the debentures of the old Olympia company at a discount. Then they bought the company itself for £1,40,000. Out of this money provided by themselves, the debentures were repaid in full and a profit of £ 20,000 made thereon. They promoted a new company and sold Olympia to it for £ 1,80,000. The profit of £40,000 was revealed in the prospectus but not the profit of £ 20,000.

Held, profit of £ 20,000 was a secret profit and the promoters of the company would be bound to pay it to the company because the disclosure of the profit by themselves in the capacity of directors of the purchasing company was not sufficient.

Disclosure to be made to whom: As noted in the preceding paragraphs, a promoter is allowed to make a profit out of a promotion but with the consent of the company. But, the company being an artificial person, the problem is to discover as to who may consent on behalf of the company. In *Erlanger v. New Sombrero Phosphate Co.* (*supra*), it was held that it shall be sufficient if the disclosure is made to an independent and competent Board of directors. Lord Cairns, in this case, observed that the promoters of a company "stand ... undoubtedly in a fiduciary position. They have in their hands the creation and moulding of the company; they have the power of deciding how, and when, and in what shape, and under what supervision, it shall start into existence and begin to act as a trading corporation It does not mean that the owner of property may not promote and form a joint stock company and then sell his property to it, but it does mean that if he does, he is bound to take care that he sells it to the company through the medium of a Board of directors who can and do exercise an independent and intelligent judgment on the transaction . . .".

However, at the time when promoters are involved, an entirely independent Board of directors would be impossible in the case of most private and many public companies. In such cases, the disclosure should be made to the whole body of persons who provide the company with its initial capital [*Lagunas Nitrate Co. v. Lagunas Syndicate Ltd.* [1899] 2 Ch. 392]. The initial shareholders' consent may either be obtained individually or by way of an ordinary resolution to that effect. Consent to the retention of a promotional profit can only be given by the directors or shareholders (as the case may be) if the promoter makes full disclosure to them of the nature and amount of the profit he has made, and it is insufficient for him to give them information from which they could deduce that he has obtained a profit by making enquiries [*Whaley Bridge Calico Printing Co. v. Green* [1880] 5QBD 109].

If the company issues a prospectus, disclosure to shareholders may be made in it, and each shareholder's subscription for shares on the basis of the prospectus would then be deemed to indicate his consent to the retention of profit disclosed by the promoter. Thus, the promoters have to ensure that the real truth is disclosed to those who are induced by the promoters to join the company.

Duty of disclosure of interest: In addition to his duty for declaration of secret profits, a promoter must disclose to the company any interest he has in a transaction

6. [1900] AC 240.

entered into by it. This is so even where a promoter sells property of his own to the company, but does not have to account for the profit he makes from the sale because he bought the property before the promotion began [*Re Lady Forest - (Murchison) Gold Mine Co. Ltd.* [1901] 1 Ch. 582]. Disclosure must be made in the same way as though the promoter was seeking the company's consent to his retaining a profit for which he is accountable.

Promoter's duties under the Indian Contract Act: Promoter's duties to the company under the Indian Contract Act have not been dealt with by the courts in any detail. They cannot depend on contract, because at the time the promotion begins, the company is not incorporated, and so cannot contract with its promoters. It seems, therefore, that the promoter's duties must be the same as those of a person, who acts on behalf of another without a contract of employment, namely, to shun from deception and to exercise reasonable skill and care. Thus, where a promoter negligently allows the company to purchase property, including his own, for more than its worth, he is liable to the company for the loss it suffers. Similarly, a promoter who is responsible for making misrepresentations in a prospectus may be held guilty of fraud under section 17, of the Indian Contract Act and consequently liable for damages under section 19 of that Act.

Termination of promoters' duties: A promoter's duties do not come to an end on the incorporation of the company, or even when a Board of directors is appointed. They continue until the company has acquired the property or business which it was formed to manage and has raised its initial share capital - [*Lagunas Nitrate Co. v. Lagunas Syndicate Ltd. (supra)*], and the Board of directors has taken over the management of the company's affairs from the promoters - [*Twycross v. Grant (supra)*]. When these things have been done, the promoter's fiduciary and contractual duties cease, and he is thereafter subject to no more extensive duties in dealing with the company than a third person, who is unconnected with it. Thus, where a promoter disclosed the profit which he made out of a company's promotion to the persons who provided it with the share capital with which it commenced business, it was held that he was under no further duty to disclose the profit to persons who were invited to subscribe further capital a year later, and so the company could not recover the profit for his failure to do so - [*Re. British Seamless Paper Box Company* [1981] 17 Ch. D 467]. Nevertheless, a promoter may remain subject to fiduciary and other duties to the company if he becomes a director or agent of it, but the duties are then owed only in that other capacity.

4.1-5 Remedies available to the company against the promoter for breach of his duties

Since the promoter owes a duty of disclosure to the company, the primary remedy in the event of breach is for the company to bring proceedings for rescission of any contract with him or for the recovery of any secret profits which he has made.

Rescission of contract: So far as the right to rescind is concerned, this must be exercised on normal contractual principles, that is to say, the company must have done nothing to show an intention to ratify the agreement after finding breach involving non-disclosure or misrepresentation.

To recover secret profit: If a promoter makes a secret profit or does not disclose any profit made, the company has a remedy against him. This varies according to the circumstances which may be divided into the following two situations :

(1) *Where the promoter was not in a fiduciary position when he acquired the property but only when he sold it to the company.* If the property on which the profit was made was acquired before the promoter became promoter, there can be no claim for the recovery of the profit as such. [*Re Ambrose Lake Tin & Copper Co.* [1880] 14 Ch. D 390]. According to this view, it may be necessary for this purpose to make the determination of the exact moment of time at which the promotion began. The principle on which this view is based has been expressed as follows :—⁷

“In any question as to the remedies available against a [promoter] who has sold his own property to the company, regard must be had to the relationship in which the [promoter] stood to the company when he acquired the property. If he was under no obligation at that time to acquire the property for the company instead of for himself then his non-disclosure of the fact that the property was his own would entitle the company to repudiate the sale and restore the original position, but would not entitle it to retain the property at a price reduced by a deduction of the [promoter's] profit. When, however, the [promoter's] default extends further than non-disclosure, when a breach of duty attended the original acquisition, the company may, if it chooses, retain the property purchased and also demand a refund of the profits.”

Thus, if a person acquires properties or had it before he takes any active steps in the promotion of a company and sells it to the company at a profit, he is entitled to retain that profit. Here the promoter, as in *Solomon's* case must have had the property for a certain length of time. He can hardly be said to be in a fiduciary relation to the company.

(2) *Where the promoter was in a fiduciary position when he acquired the property and when he sold it to the company.* This may happen in any of the following circumstances :—

- (i) Where the promoter bought property with a view to selling it to the company which he intends to promote.
- (ii) Where the promoter resells to the company at an increased price, the property which he purchased after he commenced the promotional activities.
- (iii) Where a person is a promoter for acquiring the property for the company in the capacity of an agent.

In the aforesaid circumstances, the remedies of the company may include :

- (a) rescission of the contract, and if the promoter has made a profit on some ancillary transaction that may also be recovered; or
- (b) to retain the property, paying no more than what the promoter has paid for it, thus depriving him of his profit; or
- (c) where the above remedies would be inappropriate, say, where the property has been altered so as to render rescission impossible and the promoter has

7. The quotation is from the headnote of *Robinson v. Randfontein Estates* [1921] A.D. 168 summarizing the statement of Innes, C.J. at p. 179. ‘Promoter’ has been substituted for ‘director’.

already received the inflated price, the company may sue for misfeasance (breach of duty to disclose). The measure of damages in such a situation will be the difference between the market value of the property and the contract price.

4.1-6 Liability of promoters

A promoter is subject to following liabilities under the various provisions of the Companies Act :

1. Section 26 enumerates the *matters that should be stated and the reports that should be set out in the prospectus*. If this provision is not complied with, the promoters may be held liable under Section 35 to compensate the shareholders.
2. Section 35 provides for *civil liabilities for any misstatements made in the prospectus*. Under this section a promoter can be held liable for any false statements in the prospectus, by a person who has subscribed for the shares and debentures of the company acting on the faith of the prospectus. The promoter may be held liable to pay compensation to every person who subscribes for shares or debentures for any loss or damage sustained by him on account of the untrue statements made in the prospectus. However, Section 35 enumerates certain grounds on which the promoter can avoid his liability. These remedies are common to all persons who can be held liable for misstatement in the prospectus.
3. Section 34 contains provisions relating to *criminal liabilities for issuing a prospectus which contains untrue statements*. It is clearly provided that in addition to the civil liability mentioned in the above two cases, the promoters can be held criminally liable if the prospectus issued by them contained misstatements. They may thus be liable for imprisonment for a term which shall not be less than six months but which may extend to ten years. Besides, the promoter shall also be liable to fine which shall not be less than the amount involved in the fraud, but which may extend to three times the amount involved in the fraud. Further, the section provides that where the fraud in question involves public interest, the term of imprisonment shall not be less than three years.

The promoter may have to bear this criminal liability for misstatements unless he can prove that such statement or omission was immaterial or that he had reasonable grounds to believe, and did up to the time of issue of the prospectus believe, that the statement was true or the inclusion or omission was necessary.

The Madras High Court in *Probir Kumar Misra v. Ramani Ramaswamy* [2010] 104 SCL 174, has held that to fix liability on a promoter, it is not necessary that he should be either a signatory to the Memorandum/Articles of Association or a shareholder or a director of the company. Promoter's civil liability to the company and also to third parties remain in respect of his conduct and contract entered into by him during pre-incorporation stage as agent or trustee of the company (as agent to third party and as trustee to the company).

4.1-7 Remuneration of promoters

A promoter is not entitled to recover any remuneration for his services from the company unless there is a valid contract, enabling him to do so, between him and the company. Indeed, without such a contract, he is not even entitled to recover his preliminary expenses or the registration fees [*Re English & Colonial Produce Company* [1906] 2 Ch. 435 CA]. In practice, however, recovery of preliminary expenses and registration fees does not normally present any difficulty. The Articles generally contain a provision authorising the directors to pay them [*Touche v. Metropolitan Railway Warehousing Company* [1871] L.R. 6 Ch. 671]. The provision in the Articles does not impose any legal obligation on the company towards the promoters but as they or their nominees will usually be the first directors of the company, there is little risk of the power being not exercised in their favour. It may well be, however, that the promoters will not be content with merely their expenses; a professional promoter expects to be handsomely remunerated. It cannot be said to be unreasonable either. As Lord Hatherly said: "The services of a promoter are very peculiar; great skill, energy and ingenuity may be employed in constructing a plan and bringing it out to the best advantage". Hence, it is perfectly proper for the promoter to be rewarded, provided, as we have seen, that he fully discloses to the company the profits which he has made. Companies, after registration, may (and usually they do) pay or agree to pay some remuneration to the promoters for the services rendered. In practice, a promoter is remunerated in any of the following ways :

- (a) He may sell his own property to the company for cash or against fully paid shares in the company at an overvaluation after making full disclosure to an independent Board of directors or to the intended shareholders.
- (b) He may take commission on the shares sold.
- (c) He may be paid a lump sum by the company.

Whatever be the nature of remuneration or benefit, it must be disclosed in the prospectus.

4.1-8 Pre-incorporation contracts

Sometimes, contracts are made on behalf of a company even before it is duly incorporated. But no contract can bind a company before it becomes capable of contracting by incorporation. "Two consenting parties are necessary to a contract, whereas the company before incorporation is a non-entity" - [*Kelner v. Baxter* [1866] 15 LT 213].

The true legal position in respect of pre-incorporation contracts may be discussed under the following two heads :—

- (1) Position before 1963 (*i.e.*, before passing of Specific Relief Act, 1963), and
- (2) Position since 1963.

Position before 1963 :

- (a) A pre-incorporation contract never binds a company since a person (legal or juristic) cannot contract before his or its existence and a company before incorporation has no legal existence. Another reason is that promoters are proverbially profuse in their promises and if the corporation were to be

bound by them, it would be subject to many unknown, unjust and heavy obligations. [*Parke v. Modern Woodman* 181 All 214, 234].

- (b) Even where there is a request purported to enforce such a contract, the company cannot be bound because ratification is not possible as the ostensible principal did not exist at the time the contract was made - [*Kelner v. Baxter (supra)*].

In re, English and Colonial Produce Company (supra), a solicitor was engaged to prepare the necessary documents and obtain the registration of a company. He paid the registration fee and incurred certain expenses incidental to registration. *Held*, the company was not bound to pay for his services and expenses.

- (c) The company is also not entitled to sue on a pre-incorporation contract.

In Natal Land and Colonisation Company v. Pauline Colliery Syndicate [1904] AC 120, N Co. contracted with 'A', the nominee of the syndicate (which was not even incorporated) to grant a lease of certain coal mining rights for three years. After the syndicate was registered, it claimed the contracted lease which the N Company refused. In a suit for specific performance, it was held that the syndicate was not entitled to its claim as it was not in existence when the contract was made and a company cannot obtain the benefit of a pre-incorporation contract.

Position since 1963 (after passing of the Specific Relief Act, 1963): Until the passing of the Specific Relief Act, 1963, in India the promoters found it very difficult to carry out the work of incorporation. Since contracts prior to incorporation were void and also could not be ratified, people hesitated to either supply any goods or service for the cause of incorporation. Promoters also felt shy of accepting personal responsibility. The Specific Relief Act, 1963 came as a relief to the promoters. Section 15(h) of the Specific Relief Act, 1963 provides that where the promoters of a public company have made a contract before its incorporation for the purposes of the company, and if the contract is warranted by the terms of its incorporation, the company may enforce it. "Warranted by the terms of incorporation" means within the scope of the company's objects as stated in the memorandum. Thus, where a person, who intended to promote a company, acquired a leasehold interest for it, held it for some time for partnership firm, converted the firm into a company which adopted the lease, the lessor was held bound to the company under the lease. [*Vali Pattabhirama Rao v. Sri Ramanuja Ginning and Rice Factory Pvt. Ltd.* [1986] 60 Comp. Cas. 568 (AP)].

Please note that it is not only the company which is allowed, under the Specific Relief Act, to adopt and enforce its pre-incorporation claims against third parties. Section 19 of the Specific Relief Act also allows the other party to enforce the contract against the company if, (i) the company had adopted the same after incorporation, and (ii) the contract is warranted by the terms of incorporation. Contracts like preparation and printing of the memorandum, and articles, remunerating the professionals, if any, for securing the registration of the company, renting premises, hiring secretarial staff are envisaged under the Act.

Liability of promoters vis-a-vis pre-incorporation contracts: An important question that needs to be tackled is what is the position of a promoter *vis-a-vis* preliminary

contracts? If the company does not execute a fresh contract after incorporation and the contract is not one warranted for the purposes of incorporation of the company, what will be the legal position of the promoter who brings about such a contract?

In *Phonogram Limited v. Lane* [1982] QB 938, it was observed that although a contract made before a company's incorporation cannot bind the company, it is not wholly devoid of legal effect, even if all the persons who negotiated the contract are aware that the company has not yet been incorporated. In the referred case, a person attempting to incorporate a Pop Group had obtained financial assistance from a recording company. He was held personally liable to refund the amount on his project failing to materialise.

The contract takes effect as a personal contract with the persons who purport to contract on the company's behalf - [*Kelner v. Baxter (supra)*]. Promoters shall be liable to pay damages for failure to perform the promises made in the company's name. This shall be so, even where the contract expressly provides that only the company's paid-up capital shall be answerable for performance [*Scot v. Lord Ebury* [1867] LR 2CP 255].

The persons who make the contract are liable as parties to it, and are not merely liable to pay damages for breach of implied warranty that they had authority to contract on company's behalf.⁸ This distinction may be of importance when the contract is specifically enforceable (for example, a contract for the sale of land to the unformed company) for there seems to be no reason why the vendor should not obtain an order for specific performance against the persons who make the contract instead of suing them for damages.

Formerly, these consequences did not ensue when a contract was made in the name of a company before its incorporation by a person who did not purport to contract on its behalf or as its agents, but simply described himself in the offer or acceptance as an officer of the company or as being in some other way connected with it - [*Newborne v. Sensolid (Great Britain) Ltd.* [1954] 1QB 45]. Such contracts were declared void both against the company and the person authenticating the same by adding his name.

However, now, besides the judicial decisions on the subject, section 36(4) of the English Companies Act, 1985 specifically provides that such contracts take effect as contracts entered into personally by the persons who make them. Even the knowledge or ignorance of those persons of the fact that the company has not yet been incorporated is immaterial.

4.2 Registration/Incorporation of a company

Section 3 states that, A company may be formed for any lawful purpose by—

- (a) seven or more persons, where the company to be formed is to be a public company;
- (b) two or more persons, where the company to be formed is to be a private company; or
- (c) one person, where the company to be formed is to be One Person Company that is to say, a private company,

8. Pennington's Company Law, 5th edn., p. 105.

by subscribing their names or his name to a memorandum and complying with the requirements of this Act in respect of registration.

Thus, the promoters will have to get together at least seven persons in the case of a public company and two persons in the case of a private company to subscribe to the memorandum of association.

4.2-1 Procedure for registration/incorporation of a company : Important Steps

Before proceeding, to register a company, the promoters have to, *inter alia*, decide the following aspects :

4.2-1a TYPE OF COMPANY : The first thing the promoters must decide is the type of company proposed to be floated. Under the Act only two types of companies can be registered, *viz.*,

- (i) Public companies,
- (ii) Private companies.

4.2-1b APPLICATION FOR AVAILABILITY/RESERVATION OF NAME - The promoters then obtain the approval of the proposed name from the Registrar of Central Registration Centre (CRC)*. Application can now be made online also. As per the prescribed Form INC-1, the promoters are required to give maximum of six proposed names in order of preference, so that there is a possibility that at least one of these will be approved. While selecting a proposed name(s), the promoters must not only look at the provisions contained in the Companies Act, 2013 but also the rules made thereunder.

As per the Companies (Incorporation) Amendment Rules, 2020, an application for reservation of name shall be made through the web service available at www.mca.gov.in by using web service SPICe+ (Simplified Proforma for Incorporating Company Electronically Plus: INC-32), and for change of name by using web service RUN (Reserve Unique Name) along with fee as provided in the Companies (Registration Offices and Fees) Rules, 2014, which may either be approved or rejected, as the case may be, by the Registrar, Central Registration Centre after allowing re-submission of such web form within fifteen days for rectification of the defects, if any, with effect from the 23rd February, 2020.

Section 4 of the Companies Act, 2013 provides that no company shall be registered by a name which is:

- (a) identical with or resemble too nearly to the name of an existing company registered under this Act or any previous company law; or

*Ministry of Corporate Affairs *vide* its Notifications No. S.O. 218(E) and S.O. 1211(E), dated 22nd January, 2016 and 23rd March, 2016, respectively has established a Central Registration Centre (CRC) having territorial jurisdiction all over India, for discharging or carrying out the function of processing and disposal of applications for reservation of names as well as registration of companies under the provisions of the Companies Act.

The CRC shall function under the administrative control of Registrar of Companies, Delhi (ROC Delhi), who shall act as the Registrar of the CRC until a separate Registrar is appointed to the CRC. The CRC shall process applications for reservation of name *i.e.*, e-Form No. INC-1 filed along with the prescribed fee as provided in the Companies (Registration Offices and Fees) Rules, 2014. He may approve or reject the name, as the case may be.

This notification shall come into force from 26th January, 2016 and 28th January respectively.

(b) be such that its use by the company—

- (i) will constitute an offence under any law for the time being in force; or
- (ii) is undesirable in the opinion of the Central Government.

Reservation of Name:

Sub-section (4) of Section 4 of the Companies Act, 2013 read along with the Companies (Incorporation) Rules, 2014, as amended vide Notification dated 23-3-2018, provides that a person may make an application, through the web service available at www.mca.gov.in by using form RUN (Reserve Unique Name) and accompanied by such fee, as may be prescribed, to the Registrar, Central Registration Centre for the reservation of a name set out in the application as—

- (a) the name of the proposed company; or
- (b) the name to which the company proposes to change its name.
 - (i) Upon receipt of an application under sub-section (4), the Registrar, Central Registration Centre may, on the basis of information and documents furnished along with the application, **reserve the name for a period of twenty days*** from the date of the application.

The Registrar under Rule 9A of the Companies (Incorporation) Rules, 2014 has the power to extend the reservation of name upto sixty days upon payment of the prescribed fees. The Registrar shall have the power to cancel reservation of name.†

However, in case of an application for reservation of name or for change of its name by an existing company, the Registrar may reserve the name for a period of sixty days from the date of approval*.

- (ii) Where after reservation of name under clause (i), it is found that name was applied by furnishing wrong or incorrect information, then,—
 - (a) if the company has not been incorporated, the reserved name shall be cancelled and the person making application under sub-section (4) shall be liable to a penalty which may extend to one lakh rupees;
 - (b) if the company has been incorporated, the Registrar may, after giving the company an opportunity of being heard—
 - (i) either direct the company to change its name within a period of three months, after passing an ordinary resolution;
 - (ii) take action for striking off the name of the company from the register of companies; or
 - (iii) make a petition for winding up of the company.

You will study in detail about this aspect in Chapter 5 dealing with Memorandum of Association.

4.2-1c PREPARATION OF MEMORANDUM AND ARTICLES OF ASSOCIATION - Before an application for registration is filed with the Registrar of Companies, the promoters shall take the necessary steps for preparing the important documents such as

*Vide Companies (Amendment) Act, 2017.

† Inserted vide Companies (Incorporation) Third Amendment Rules, 2020, Notification No. G.S.R. 795(E), dated 24th December 2020.

‘memorandum of association’ and ‘articles of association’. For this, the promoters may seek the help of a legal expert, a solicitor, chartered accountant, cost accountant, or a company secretary. These documents should be duly printed. The memorandum and articles have to be stamped as per the applicable State stamp laws.

The memorandum of a company has to be in respective forms specified in Tables A, B, C, D and E in Schedule I as may be applicable to such company.

Model articles in relation to different kinds of companies are contained in Tables F, G, H, I and J in Schedule I to the Companies Act.

Section 7 and Rule 13 of the Companies (Incorporation) Rules, 2014 require that memorandum and articles of association of the company shall be signed by each subscriber to the memorandum, who shall add his name, address, description and occupation, if any, in the presence of at least one witness who shall attest the signature and shall likewise sign and add his name, address, description and occupation, if any. The witness shall also verify his/their ID. However, it is not necessary that the promoters themselves should sign the memorandum and articles.

Where a subscriber to the memorandum is illiterate, he shall affix his thumb impression or mark which shall be described as such by the person, writing for him, who shall place the name of the subscriber against or below the mark and authenticate it by his own signature and he shall also write against the name of the subscriber, the number of shares taken by him.

Such person shall also read and explain the contents of the memorandum and articles of association to the subscriber and make an endorsement to that effect on the memorandum and articles of association.

4.2-1d PREPARATION OF OTHER DOCUMENTS - The following documents are also required to be prepared by the promoters in connection with the incorporation of a company :

- (i) ***Power of Attorney*** - With a view to fulfilling various formalities that are required for incorporation of a company, the promoters may execute a power of attorney in favour of one of them or an advocate or some other professional like the Chartered Accountant, the Company Secretary, the Cost and Works Accountant or an Advocate. The Power of Attorney should be prepared on a non-judicial stamp of the value prescribed by the Stamp Act of the concerned State.
- (ii) ***Consent of the directors*** - **A list of persons who have agreed to become the first directors of the company along with their consent should also be filed.** There shall be filed the particulars of the persons mentioned in the articles as the first directors of the company, their names, including surnames or family names, the Director Identification Number, residential address, nationality, the particulars of their interest in other firms or bodies corporate and such other particulars including proof of identity as may be prescribed. Besides, the particulars of the interests of the persons mentioned in the articles as the first directors of the company in other firms or bodies corporate along with their consent to act as directors of the company in such form and manner as may be prescribed must also be filed with the Registrar

of Companies. The directors are also required to give a written undertaking to take up and pay for their qualification shares, if any, prescribed in the Articles.

- (iii) *The particulars of Manager, etc.* – Where the company names in its articles the persons who are to act as, manager, secretary, etc., the particulars of such manager, etc., may be filed with the Registrar at the time of registration.
- (iv) *Declaration by subscribers to the memorandum and first directors:* There shall be filed a declaration from each of the subscribers to the memorandum and from each of the first directors, if any, named in the articles that he is not convicted of any offence in connection with the promotion, formation or management of any company, or that he has not been found guilty of any fraud or misfeasance or of any breach of duty to any company under this Act or any previous company law during the preceding five years and that all the documents filed with the Registrar for registration of the company contain information that is correct and complete and true to the best of his knowledge and belief.
- (v) *Address for communication and notice of registered address* - Address for communication till the company acquires its registered office shall also be supplied. As per section 12, a company is required to have a registered office within 15 days of incorporation and within 30 days of incorporation, it must submit the verification of the registered office in the prescribed manner. There is no pre-condition for foreign promoters to furnish local address in India for seeking registration and incorporation of a private limited company in India – *Dmitry Rosnin v. Registrar of Companies* [2012] 19 taxmann.com 219 (Bom.).
- (vi) *Statutory declaration* - A statutory declaration to the effect that all the requirements of this Act and the rules made thereunder in respect of registration and matters precedent or incidental thereto have been complied with; is also to be filed. The aforesaid declaration is to be signed by:
 - (i) an advocate, a chartered accountant, cost accountant or company secretary in practice, who is engaged in the formation of the company, and
 - (ii) a person named in the articles as a director, manager or secretary of the company.

Besides, depending upon the peculiar nature of the company and its objects, the promoters may be asked to comply with certain other requirements. These may include (i) obtaining the licence under the Industries (Development and Regulation) Act, 1951, (ii) obtaining clearance from the Ministry of Environment, IRDA, RBI, SEBI, MCA etc.

4.2.1e FILING OF APPLICATION AND DOCUMENTS FOR REGISTRATION - After the aforesaid documents are ready, the next step is filing of an application for incorporation of the company along with these documents with the Registrar of Central Registration Centre (CRC)*.

*Vide MCA Notifications No. S.O. 218(E) and S.O. 1211(E), dated 22-1-2016 and 23-3-2016.

As per Rule 12 of the Companies (Incorporation) Rules, 2014, as amended vide Notification No. dated 29th May, 2015, an application shall be filed with the Registrar in Form No. INC.2 (for one person company) and Form No. INC.7 (for other companies) along with the prescribed fees.

However, if pursuing of any of the objects of a company requires registration or approval from sectoral regulators such as RBI, SEBI, registration or approval, as the case may be, from such regulator shall be obtained by the company before pursuing such objects and a declaration in this behalf shall be submitted at the stage of incorporation of the company.

4.3 Simplified Performa for Incorporating Company Electronically (SPICE+) (pronounced as spice plus)

With effect from 15 February, 2020, companies to be incorporated have to follow SPICE+ (pronounced as SPICE Plus). SPICE+ stands for Simplified Proforma for Incorporating Company electronically Plus.

The difference between 'SPICE' and 'SPICE+' is that while 'SPICE' is an e-form, 'SPICE+' is an integrated Web form offering 10 services by 3 Central Govt. Ministries & Departments. (Ministry of Corporate Affairs, Ministry of Labour & Department of Revenue in the Ministry of Finance) and one State Government (Maharashtra), thereby saving as many procedures, time and cost for starting a Business in India. SPICE+ is part of various initiatives and commitment of Government of India towards Ease of Doing Business (EODB).

SPICE+ Form is divided into two parts, namely, Part 'A' and Part 'B'

Reservation of Name

Name(s) of a company can be reserved in Part A of SPICE+. In case the applicant wants to apply for name, incorporation and other integrated services together, he can do so together by filling necessary information in Part A and Part B.

User has to enter the name he wants to reserve, for incorporation of a new company or for changing the name of an existing company. Name can be reserved for a period of 20 days unless application for extension has been made before expiry of these 20 days. Extension may be allowed but not beyond 40 days. Users are requested to ensure that the proposed name selected does not contain any word which is prohibited under Section 4(2) & (3) of the Companies Act, 2013 read with Rule 8 of the Companies (Incorporation) Rules, 2014. Users are also requested to read and understand Rule 8 of the Companies (Incorporation) Rules, 2014 in respect of any proposed name before applying for the same.

For Name search:

<http://www.mca.gov.in/mcafoportal/showCheckCompanyName.do>

Stakeholders are requested to also check the Trademark search to ensure that the proposed name is not in violation of provisions of section 4(2) of the Companies Act, 2013, failing which it is liable to be rejected.

For Trade Mark Search: <http://www.ipindia.nic.in/index.htm>

While applying for name, the following information is to be submitted:

- (i) Type of company
- (ii) Class of company
- (iii) Category of company
- (iv) Sub-Category of company
- (v) Main division of industrial activity of the company
- (vi) Description of the main division.

In case pursuing of any objects requires registration or approval from Sectoral Regulators such as the Reserve Bank of India, SEBI, registration or approval, as the case may be, from such Regulator shall be obtained by the proposed company before pursuing such objects and a declaration in this behalf shall be submitted at the stage of incorporation of the company.

Extension of Name Reservation

In line with the provisions of Rule 9A of the Companies (Incorporation) Rules, 2014, an applicant can apply for extension of name reservation only before the expiry of the name reservation period.

Is it mandatory to attach documents while reserving name?

No. However, it would be mandatory to attach relevant documents and No Objection Certificates (NOCs) in Part A of SPICe+ only when a name which requires the approval of a Sectoral Regulator or NOC etc. if applicable, as per the Companies (Incorporation) Rules, 2014, is being applied for. Please note that only one file is allowed to be uploaded as an attachment and the size of the file should not exceed 6MB in case of Part A SPICe+ and overall limit of form size shall not exceed 6MB in case both Part A SPICe+ and Part B SPICe+ are filed together. In case of multiple attachments for Part A SPICe+, please scan all documents into a single file and upload the same.

Filing Fee

Companies getting incorporated through SPICe+ with an Authorized Capital up to INR 15,00,000 would continue to enjoy 'Zero Filing Fee' concession.

Services offered in Part B

Part B of SPICe+ offers following services viz. (i) Incorporation (ii) DIN allotment (iii) Mandatory issue of PAN (iv) Mandatory issue of TAN (v) Mandatory issue of EPFO registration (vi) Mandatory issue of ESIC registration (vii) Mandatory issue of Profession Tax registration (Maharashtra) (viii) Mandatory Opening of Bank Account for the Company and (ix) Allotment of GSTIN (if so, applied for).

Changes/modifications in SPICe+

Changes/modifications to SPICe+ (even after generating pdf and affixing DSCs), can be made up to five times by editing the same web form application which has been saved, generating the updated pdf affixing DSCs and uploading the same.

Procedure after filing the SPICe+

Once the SPICe+ is filled completely with all relevant details, the same would then have to be converted into pdf format, with just a click of the mouse button, for affixing DSCs (Digital Signatures Certificates). Thereafter all digitally signed applications can be uploaded along with the linked forms as per the existing procedure.

Declaration by Subscribers and First directors of the company

Form INC-9 (*Declaration by Subscribers and First directors of the company*) shall be auto-generated in pdf format and would have to be submitted only in electronic form in all cases, except where: (i) Total number of subscribers and/or directors is greater than 20 and/or (ii) Any such subscribers and/or directors has neither DIN nor PAN.

Filing of eMoA and eAoA

Yes. It is mandatory to use eMoA (INC-33) and eAoA (INC-34) in case the number of subscribers are up to 7 and in the following scenarios:

- individual subscribers are Indian nationals
- individual subscribers who are foreign nationals in case they have valid DIN and DSC and also submit a proof of a valid business visa
- non-individual subscribers based in India.

Physical copies of MoA/AoA are required to be signed and attached in case non-individual first subscribers are based outside India or individual foreign subscribers do not possess a valid business visa or in the other prescribed scenario.

The application for incorporation of a company under Rule 38 shall be accompanied by Form **AGILE-PRO-S* (INC-35)** containing an application for registration of the following numbers, namely†:

- (a) GSTIN with effect from 31st March, 2019
- (b) EPFO with effect from 8th April, 2019
- (c) ESIC with effect from 15th April, 2019
- (d) Professional Tax Registration with effect from 23rd February, 2020
- (e) Opening of Bank Account with effect from 23rd February, 2020
- (f) Shops and Establishment Registration.

PROCESS OF INCORPORATION OF A COMPANY

1. Filing application of name reservation of the proposed company through web-based form SPICe+ Part A on MCA portal and obtaining name approval from ROC.
2. Obtaining Digital Signature Certificate (DSC) for individuals who will act as First Directors and Subscribers of the proposed company.

* User can apply for Shops and Establishment Registration/GSTIN/Establishment code issued by EPFO/Employer Code as issued by ESIC or all the services through AGILE-PRO-S form.

† Vide MCA Notification dated 7 June, 2021.

3. Execution/signing of documents for incorporation of the proposed company. The documents of the foreign subscribers will be required to be apostilled/notarized, as the case may be.
4. Filing of web-based form SPICe+ Part B along with linked forms and submission of incorporation documents with ROC within 20 days from the date of the name approval.

The following documents will be submitted with form SPICe+ Part B:

- (a) ID and address proof of Subscribers and First Directors of the proposed company (Apostilled/notarized, if required)
 - (b) Memorandum of Association (MoA) and Articles of Association (AoA) of the proposed company along with the Subscribers sheets.
 - (c) Form INC 9 from all the First Directors and Subscribers by way of Declaration(s) (*In case they have valid PAN/DIN then same shall be filed electronically*)
 - (d) Proof of title to registered office address of the proposed new company (Lease deed/rent agreement/conveyance deed etc, or any other agreement as the case may be).
 - (e) NOC to be obtained from landlord if registered office is on rent or to be taken on rent
 - (f) Copies of utility bill such as electricity bill/water bill, etc. (not older than two months) as proof of address of registered office of the proposed company
 - (g) Interest of First Directors in other entities
 - (h) Declaration of the First Directors in Form DIR-2 (apostilled/notarised, where necessary)
 - (i) Declaration for non-acceptance of deposits by the Subscribers and First Directors
 - (j) PAN Undertaking by Foreign Directors, if any.
5. Once the application is completed in all respects, the next step would be the conversion into PDF format.

Pre-scrutiny checks and other validations happen in the web form, but DSC Validation will happen only at the upload stage.

Declaration by the subscribers and the first directors in INC-9 shall now be auto-generated in PDF format and submitted electronically.

The declaration also requires certification by a professional:

- (a) Chartered Accountant
 - (b) Cost Accountant
 - (c) Company Secretary
6. Obtaining Certificate of Incorporation of the New Company from the RoC.

4.3A On-line Registration of a Company

MCA 21 Project of the Ministry of Corporate Affairs (MCA) enables on-line registration of a company on the portal of MCA. It involves four major steps for on-line registration of a company:

These four major steps are:

- ◆ Acquiring Director Identification Number (DIN)
- ◆ Acquiring Digital Signature Certificate (DSC)
- ◆ Filing an e-Form or New user registration
- ◆ Incorporating the company.

Step 1: Acquire Director Identification Number (DIN)

This is the first process in registration that each director of the company should obtain their identification number. Acquiring a DIN is compulsory for every director i.e. as such every existing and intending director have to obtain their DIN. To get DIN one need to file an e-Form DIN-1. The DIN-1 form is available on Official site of the Ministry of Corporate Affairs the link is *DIN-1 Form*. The procedure involves:

- ◆ Registering on MCA Website first and have a login id. After filling DIN-1 Form, one should upload the filled form by clicking to e-Form upload button on MCA website and should pay applicable fees.
- ◆ After getting generated DIN one should intimate their company about DIN. The director can intimate their company about DIN by using DIN-2 Form.
- ◆ Then company should intimate the Registrar of Companies (RoC) about all director's DIN through DIN-3 Form.
- ◆ If there is any change in DIN or need for any updation like change of address, personal details etc., then director should intimate this change by submitting the e-Form DIN-4 Form.

However, no application number shall be generated in case of the person applying for Director Identification Number being a national of a country which shares land border with India, unless necessary security clearance from the Ministry of Home Affairs, Government of India has been attached along with application for Director Identification Number - *Vide MCA Notification dated 1-6-2022*.

Step 2: Acquire Digital Signature Certificate (DSC)

In order to ensure the security or authenticity of documents filed electronically the Information Technology Act, 2000 demands a valid digital signature on the documents submitted electronically. This is the only and safest way that one can submit their documents electronically. The digital signature certificate should be acquired from only those agencies which are appointed by the Controller of Certification Agencies (CCA). These are called licenced Certifying Authority (CA). One should not use DSC given by any other agency which is not approved.

If you already have a digital signature then you can use the same, no need to apply for another. But do check for your digital signature validity.

Some of the certified licencing authorities for issuing DSC are: TCS, IDBRT, MTNL, SAFESCRYPT, NIC, nCODE Solutions, etc.

Register DSC: After having acquired DSC, it is important to do the Role Check. At the time of uploading e-form on MCA portal, Role Check verifies whether the Digital Signature affixed on the e-form belongs to the Director, Manager or Secretary and whether the Digital Signature is registered on the MCA portal. Role Check also verifies whether the signatures of the Certifying Agency are duly registered on the MCA portal. In case the Role Check validation fails, the e-form will not be uploaded.

Step 3: Create an account on MCA Portal – New user registration

This is about having a registered user account on MCA Portal for filing an e-Form and for online fee payment. Creating an account is totally free of cost. To register on the MCA portal, click on the register link.

Step 4: Incorporate the company

This is the final major step in a registration of your company which includes registration of company's name, Registering the office address or notice of situation of office and notice for appointment of company directors, manager and secretary and also regarding the take and pay for their qualification shares. The process includes:

- ◆ **Filing Form-INC-1:** Application in **Form-INC-1** for availability of name is to be made to Registrar, Central Registration Centre (CRC)⁹. Application can now be made online also. As per the prescribed Form INC-1, the promoters are required to give maximum of six proposed names indicative of the main objects of the company in order of preference, so that there is a possibility that at least one of these will be approved.

While selecting a proposed name(s), the promoters must not only look at the provisions contained in the Companies Act, 2013 but also the rules made thereunder.

Section 4 of the Companies Act, 2013 provides that no company shall be registered by a name which is:

- (a) identical with or resemble too nearly to the name of an existing company registered under this Act or any previous company law; or
- (b) be such that its use by the company—
 - (i) will constitute an offence under any law for the time being in force; or
 - (ii) is undesirable in the opinion of the Central Government.

You will study in detail about this aspect in Chapter 5 dealing with Memorandum of Association.

- ◆ After the name approval, the applicant can apply for registration of the new company by filing Form INC -7 for incorporation of company other than One Person Company (OPC) and Form INC-2 for incorporation of One Person Company (OPC) within 60 days of name approval.

9. Since 23rd March, 2016.

- ◆ Application for incorporation of a company shall be accompanied with the following documents:
 - Memorandum of association as per the relevant prescribed Form¹⁰.
 - Articles of Association¹¹
 - Declaration to the effect that all the requirements of this Act and the rules made thereunder in respect of registration and matters precedent or incidental thereto have been complied with. The aforesaid declaration is to be signed by:
 - (i) an advocate, a chartered accountant, cost accountant or company secretary in practice, who is engaged in the formation of the company, **and** (ii) a person named in the articles as a director, manager or secretary of the company.
 - Affidavit from subscribers and first directors in Form INC-9*.
 - Verification of signatures of subscribers in Form INC-10 along with proof of residential address.
- ◆ Login to the portal and fill the following e- Forms and attach the mandatory documents:
 - Form INC-22: Verification of the registered office shall be filed in Form INC-22.
 - Form DIR- 12: Particulars of appointment of directors and key managerial personnel.
- ◆ *Payment of the requisite filing and registration fees:* At the time of filing the application for incorporation in Form INC -7 or INC -2, as the case may be, the MCA 21 portal also facilitates e-payment of all the requisite filing and registration fees.
- ◆ Once the application Form has been approved, an e-mail regarding the same will be received and the status of the form will get changed to 'approved'.
- ◆ The Registrar will then generate the Certificate of Incorporation containing the Corporate Identity Number (CIN).

4.4 Certificate of incorporation

After scrutinising the documents filed and on being satisfied that they are in order, that the requisite fee has been paid and that all other legal requirements have been duly complied with, the Registrar will enter the name of the company in the Register of Companies and shall certify under his hand that the company is incorporated and, in the case of a limited company that the company is limited.

10. Section 4(6) requires that the memorandum of a company shall be drawn up in such a form as is given in Tables A, B, C, D & E in Schedule I to the Act as may be applicable in the case of the company.

11. As per section 5 of the Companies Act, 2013, the articles of a company shall be irrespective forms specified in Tables F, G, H, I and J in Schedule I as may be applicable to such company.

*Now Form INC-9-as per Notification dated 20 May, 2022.

He would then issue a Certificate in the prescribed Form No. INC-11, under his signature, certifying that the company is incorporated. W.e.f. 30-1-2017, the certificate of incorporation shall also contain PAN of the company where it has been issued by the Income-tax Department. The Certificate contains the name of the company, the date of its issue, and the signature of the Registrar with his seal. Certificate of Incorporation constitutes the company's birth Certificate and the company becomes a body corporate, with perpetual succession and a common seal. The company comes into existence on the date given in the Certificate of Incorporation.

If the Registrar is of the view that there are some minor defects in any document, he may require that the defects be rectified. But, if there are some material and substantial defects, the Registrar may refuse to register the company.

Allotment of Corporate Identity Number (CIN) : As per Section 7(3), on and from the date mentioned in the certificate of incorporation, the Registrar shall allot to the company a corporate identity number (CIN), which shall be a distinct identity for the company and which shall also be included in the certificate.

The Ministry of Corporate Affairs has allowed issue of Certificate of Incorporation electronically under digital signature of Registrar.

At the time of incorporation of a company where one of the objects is to carry on the business of Banking, Insurance or to practice the profession of Chartered Accountancy, Cost Accountancy, Company Secretaries or Architecture, then the Registrar shall incorporate the same only on production of in-principle approval/ NOC from the concerned Regulator/Professional Institute.

4.4A Effect of certificate of incorporation

From the date of incorporation i.e., the date mentioned in the Certificate of incorporation the company becomes a legal person distinct from its members. Section 9 describes the effects of registration in the following words:

"From the date of incorporation mentioned in the certificate of incorporation, such subscribers to the memorandum and all other persons, as may, from time to time, become members of the company, shall be a body corporate by the name contained in the memorandum, capable of exercising all the functions of an incorporated company under this Act and having perpetual succession and a common seal with power to acquire, hold and dispose of property, both movable and immovable, tangible and intangible, to contract and to sue and be sued, by the said name".

4.4B Conclusiveness of certificate of incorporation

As per the Companies Act, 2013, certificate of Incorporation is not conclusive proof of everything prior to incorporation being in order.

Sub-sections (5), (6) and (7) of Section 7 make furnishing of any false or incorrect particulars of any information or suppression of any material information punishable with a minimum six months imprisonment which may extend up to ten years and also fine which shall not be less than the amount involved in the fraud but which may extend to three times the amount involved in the fraud.

Besides the aforesaid penalty, the Tribunal may, on an application made to it, and on being satisfied that the situation so warrants,—

- (a) pass such orders, as it may think fit, for regulation of the management of the company including changes, if any, in its memorandum and articles, in public interest or in the interest of the company and its members and creditors; or
- (b) direct that liability of the members shall be unlimited; or
- (c) direct removal of the name of the company from the register of companies; or
- (d) pass an order for the winding up of the company; or
- (e) pass such other orders as it may deem fit.

However, before making any order, as aforesaid,—

- (i) the company shall be given a reasonable opportunity of being heard in the matter; and
- (ii) the Tribunal shall take into consideration the transactions entered into by the company, including the obligations, if any, contracted or payment of any liability.

You should also note that the Certificate of incorporation is not the conclusive proof with respect to the legality of the objects of the company mentioned in the objects clause of the memorandum of association. As such, if a company has been registered whose objects are illegal, the incorporation does not validate the illegal objects. In such a case the only remedy available is to wind up the company.

4.5 Commencement of Business

Section 10A inserted by the Companies (Amendment) Act, 2019 requires a declaration to be made by the director of a company incorporated post the commencement of Ordinance 2019 within 180 days of its incorporation to the effect that:

- (i) All the subscribers to the memorandum have paid agreed value of the shares; and
- (ii) The registered office of the company so incorporated has been verified by filing requisite returns.

The Ministry of Corporate affairs has released INC 20A for such declaration.

As per the Companies (Incorporation) Fourth Amendment Rules, 2018, effective from 18.12.2018, the said form shall be verified by a Company Secretary or a Chartered Accountant or a Cost Accountant, in practice.

In the case of a company pursuing objects requiring registration or approval from any sectoral regulators such as the Reserve Bank of India, Securities and Exchange Board of India, etc., the registration or approval, as the case may be from such regulator shall also be obtained and attached with the declaration.

The company shall not commence its business or exercise borrowing of any kind unless such declaration has been filed by the director of such company.

In case of a company being incorporated as a Nidhi, the declaration by the Central Government under section 406 of the Act shall be obtained by the Nidhi before commencing the business and a declaration in this behalf shall be submitted at the stage of incorporation of the company. – *Vide the Companies (Incorporation) Amendment Rules dated 8-4-2022.*

Penalty

Failure to comply with this section shall qualify as a ground for striking off the name of the company from the register of companies by the Registrar. This is essentially done to ensure that companies having no business of their own, do not function and moreover refrain from engaging in borrowing of any kind before a physical verification of its registered office is conducted and a declaration in respect of the same is filed with the Registrar.

Again, section 12(9), as amended, empowers the Registrar to physically verify whether or not the company is carrying on business from its registered office. If the company is found to be not carrying any business, the Registrar may initiate action for removal of the name of the company from the register of companies. This is an attempt to curb the number of shell companies that are incorporated to facilitate money laundering.

Test your knowledge

**[QUESTIONS HAVE BEEN SELECTED FROM PAST EXAMINATIONS OF
C.A. (INTER)/PE-II/PCC/FINAL, C.S. (INTER)/FINAL, ICWA (INTER)]**

1. "Any person who undertakes to take part in the forming of a company... is *prima facie* a promoter of the company". Discuss the statement and explain the legal position of a promoter *vis-a-vis* the company being formed.
2. "Promoter is not an agent or trustee for the company he promotes; but stands in a fiduciary position towards it". Comment on this statement bringing out clearly the powers and liabilities of a promoter.
3. State the steps you would take to obtain (i) certificate of incorporation; and (ii) certificate of commencement of business in the case of a public limited company.
4. The 'certificate of incorporation' alone is not sufficient to commence business of a company. Comment.
5. Who is a promoter of a company ? Discuss, citing legal cases, his legal position in relation to the company he promotes.
6. "A certificate of incorporation is conclusive evidence that all the requirements of the Companies Act, 2013 have been complied with." Comment.
7. "A company cannot ratify a pre-incorporation contract though it is open to it to enter into a fresh contract". Comment.
8. Distinguish between 'Preliminary/pre-incorporation' Contracts and 'Provisional Contracts'.
9. Explain the steps required to be taken for the formation of a private limited company and the documents required to be filed with the Registrar of Companies.
10. Examine the validity of contracts entered into prior to incorporation of a company.

PRACTICAL PROBLEMS

1. The promoters of your company, incorporated on 9th April, 2014, had entered into a contract with M on 8th March, 2014 for supply of goods. After incorporation, your company does not want to proceed with the contract. As a company secretary, advise the management of your company.

OR

A company was incorporated on 6th October, 2013. The certificate of incorporation of the company was issued by the Registrar on 15th October, 2013. The company on 10th October, 2013 entered into a contract which created its contractual liability. The company denies the said liability on the ground that company is not bound by the contract entered into prior to issuing of certificate of incorporation. Decide, under the provisions of the Companies Act, 2013, whether the company can be exempted from the said contractual liability.

Hints : Pre-incorporation contracts in general are *void ab initio* and hence not binding on the company. However, under section 19(e) of the Specific Relief Act, 1963 the party to the contract can enforce the contract against the company if : (i) the company had adopted the same after incorporation; and (ii) the contract is warranted by the terms of incorporation.

Thus, unless the company adopts the contract, the other party cannot enforce the same against the company. However, promoters can be held personally liable.

2. Though six, out of the seven signatures to the Memorandum of Association were forged, the company was registered and the Certificate of Incorporation issued. Can the registration of the company be challenged subsequently on the ground of forged signatures?

Hints : See Para 4.3B